

THE SESSION • POST-CLOSE READ

Oil Blinks *First*

Brent gave back 2.7% and long-term yields came off nearly two-decade highs — enough to snap four-session losing streaks across all three major averages, even as futures priced next week's Fed hike as close to certain. Both FCI sleeves beat their primary benchmarks.

S&P 500 ▲ 0.84%

NASDAQ ▲ 0.96%

DOW ▲ 0.98%

VIX 15.9

BRENT ▼ \$105

DIVIDEND STRATEGY

▲ BEAT DVY • TRAILED SPY

+0.73%

1-DAY

FCI		+0.73%
DVY		+0.40%
SPY		+0.84%

YTD +19.62% vs DVY +16.83% • SPY +12.66%

GROWTH PORTFOLIO

▲ BEAT IUSG + SPY

+1.16%

1-DAY

FCI		+1.16%
IUSG		+0.81%

YTD +21.60% vs IUSG +13.46%

THE SESSION

The four-day slide did not end because the inflation news improved; it ended because oil finally gave ground. August CPI landed at 0.4% for the month and 3.4% year-over-year, matching consensus, while core ran a tenth hot at 0.3% — and futures markets promptly lifted the odds of a quarter-point hike at next week's September 15–16 FOMC meeting toward 90%. Equities looked past it. Brent eased 2.7% toward \$105 after a week of steady climbing on the Hormuz standoff, long-term Treasury yields backed away from nearly two-decade highs, and buyers stepped in: the S&P 500 rose 0.84%, the Nasdaq 0.96%, and the Dow 0.98%, each ending a four-session losing streak. The VIX fell nearly 11% to 15.9.

Ten of the eleven S&P sectors finished higher, and the leadership was unambiguous: the AI hardware supply chain. Oracle's Thursday-evening backlog print continued to ripple outward — server makers Dell and Hewlett Packard Enterprise each gained roughly 11% — and the current ran straight through the Growth Portfolio. **Marvell** added 4.03%, **NXP** 4.48%, **AMD** 2.49%, and **Taiwan Semiconductor** 1.22%, while **Keysight** rose 3.99% on a well-received Communacopia presentation. The digital-asset complex joined in: **Hut 8** led the entire book at +8.83%, **MARA** followed at +4.81%, and **ETHA** gained 3.23% while **IBIT** was little changed.

The market spent four days pricing what oil might do and one day pricing what it actually did. The businesses we own changed far less than their quotes.

The Dividend Strategy earned a split verdict — its 0.73% gain cleared DVY's 0.40% comfortably but sat just behind SPY's 0.84% — and the composition explains why: the names that sheltered the four-day de-

cline handed back ground as money rotated toward cyclicals. **Lockheed** slipped 1.17%, **Abbott** 1.35%, **Colgate** 1.25%, and **Atmos** 0.98%, while the sleeve's technology and med-tech holdings did the

lifting — **Analog Devices** up 4.85%, **TE Connectivity** 3.58%, **Qualcomm** 2.88%, and **Stryker** 2.06%. Wednesday’s Fed decision now stands as the coming week’s resolution point. On the year, both

sleeves remain well ahead of their marks: the Dividend Strategy holds a +2.79-point spread over DVY, and the Growth Portfolio a +8.14-point spread over IUSG.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

HUT +8.83% GROWTH
Freedom Capital initiated coverage at Buy with a \$132 target, and a Wall Street Journal report on an Nvidia–Anthropic compute arrangement renewed focus on the Beacon Point AI campus build.

ADI +4.85% DIVIDEND
Led the analog bid after announcing a \$1.35 billion all-cash acquisition of Alif Semiconductor mid-week, extending its edge-AI microcontroller reach.

MARA +4.81% GROWTH
Rose with the miner-to-AI-infrastructure cohort as the digital-asset complex steadied; no company-specific news.

DECLINERS

CNX -2.07% GROWTH
Natural gas touched a three-week low on a larger-than-expected 40 Bcf storage build and record Lower-48 output near 113 Bcf/d.

FTNT -1.75% GROWTH
Gave back Thursday’s defensive relative-strength bid as the tape rotated toward cyclical and AI hardware.

NXPI +4.48% GROWTH
Rebounded from Thursday’s fade as automotive and edge analog names caught the AI-hardware rotation.

MRVL +4.03% GROWTH
AI networking silicon rode the Oracle capex read-through that lifted server makers double digits.

KEYS +3.99% GROWTH
Told the Goldman Communacopia conference that demand is broadening across AI, defense, and 6G test markets, pointing to record margins while supply constraints delay some shipments.

PGY -1.63% GROWTH
Rate-sensitive consumer-credit model weighed by near-certain September hike odds into next week’s FOMC.

ABT -1.35% DIVIDEND
The week’s healthcare shelter trade unwound as money rotated back toward risk.

HOLDINGS NEWS

Hut 8: Street coverage broadens as the AI campus build advances. Freedom Capital initiated coverage Friday with a Buy rating and a \$132 price target, framing the company’s transition from bitcoin mining toward AI data-center infrastructure while flagging above-average execution risk. Separately, a Wall Street Journal report on an Nvidia–Anthropic compute arrangement drew fresh attention to the Beacon Point campus in Texas, where Hut 8 has signed a 15-year lease of roughly \$9.8 billion for the second phase. Shares closed at \$98.60, up 8.83% — the strongest holding in either sleeve.

Analog Devices: a \$1.35 billion reach into edge AI. ADI announced the all-cash acquisition of Alif Semiconductor mid-week, adding AI-native microcontrollers and fusion processors to its portfolio and extending what management calls “physical intelligence” — systems that sense, reason, and act locally at the edge. The deal broadens ADI’s addressable market across industrial, defense, and digital-health applications; the stock’s 4.85% gain led the Dividend Strategy Friday.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+19.62%

vs DVY +16.83% / SPY +12.66%

Spread vs DVY +2.79 pts

GROWTH PORTFOLIO

+21.60%

vs IUSG +13.46%

Spread vs IUSG +8.14 pts